

Kaplan Schweser Test Questions

Question #1

An analyst discovers material nonpublic information about a company. According to the CFA Institute Standards of Professional Conduct, the analyst should most likely:

- A) Report the information to regulatory authorities immediately.
- B) Refrain from trading or causing others to trade on the information.
- C) Share the information only with her firm's compliance department.

Answer: B

Explanation: Standard II(A) Material Nonpublic Information states that members and candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information. Therefore, the analyst should refrain from trading.

Question #2

Under the classical linear regression model assumptions, the error term is assumed to have:

- A) Constant variance across all observations.
- B) A positive correlation with the independent variable.
- C) Increasing variance over time.

Explanation: A key assumption of the classical linear regression model is homoskedasticity, which means the error term has a constant variance for all observations. If the variance changes, it is heteroskedastic.

Question #3

A portfolio manager allocates profitable IPO shares to her personal account before client accounts. This practice most likely violates the CFA Standard related to:

- A) Suitability.
- B) Priority of Transactions.
- C) Fair Dealing.

Ans: B

Explanation: Standard VI(B) Priority of Transactions states that investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner. Allocating IPO shares to personal accounts first violates this standard.